**Loan Approval Policy (Sample Automated Decision Policy)**

## 1. Purpose

This policy defines a standardized framework for evaluating incoming loan applications using automated decision rules based on:

- Applicant **credit score**
- Verified **income / repayment affordability**
- **Requested loan amount**

The objective is to consistently recommend whether an application should be:

- **Approved**
- **Rejected**
- **Flagged for Manual Review**

This is a sample policy for decision automation and should be adapted to the lender's regulatory, risk, and business requirements.

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## 2. Scope

This policy applies to all retail unsecured loan applications submitted through digital or assisted channels.

This policy does **not** replace:

- KYC verification
- Fraud screening
- Document verification
- Regulatory compliance checks
- Sanctions / AML checks
- Final underwriter discretion

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## 3. Input Parameters

### 3.1 Credit Score

Credit score is used as an indicator of repayment history and creditworthiness.

Accepted source:

- Bureau credit report / credit scoring agency

Required field:

- Numeric credit score

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### 3.2 Verified Income

Applicant income must be verified through approved documentation.

Accepted evidence:

- Salary slips
- Bank statements
- Income tax returns
- Employer verification
- Business financials (for self-employed applicants)

Required field:

- Monthly verified income

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### 3.3 Requested Loan Amount

The total loan amount requested by the applicant.

Required field:

- Requested principal amount

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## 4. Decision Criteria

| Parameter | Approve | Manual Review | Reject |
|---|---|---|---|
| Credit Score | ≥ 750 | 650–749 | < 650 |
| EMI / Monthly Income Ratio | ≤ 35% | 35%–50% | > 50% |
| Loan Amount vs Income | ≤ 12x monthly income | 10x–15x with justification | Unsupported / excessive |

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## 5. Decision Logic

### 5.1 Approve

Application may be automatically approved when ALL of the following are true:

- Credit score ≥ 750
- EMI burden ≤ 35% of verified monthly income
- Requested loan amount within acceptable threshold

- Income successfully verified
- No fraud indicators detected
- KYC completed successfully
- Compliance checks passed

**System Decision:** APPROVE

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**5.2 Reject**

Application may be automatically rejected when ANY of the following conditions are met:

- Credit score < 650
- EMI burden > 50%
- Income unverifiable
- Requested loan amount significantly exceeds repayment capacity
- Fraud indicators detected
- Material inconsistencies in application data
- Failed KYC / compliance screening

**System Decision:** REJECT

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**5.3 Manual Review**

Application should be routed for human review when:

- Credit score falls between 650–749
- EMI burden is between 35%–50%
- Borderline affordability exists
- Exceptional high-value customer case
- Conflicting applicant information
- Non-standard income structure
- High but explainable loan requirement
- Partial documentation issues
- Fraud suspicion requires analyst validation

**System Decision:** MANUAL REVIEW

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**6. Example Decision Rules**

**Example 1**

Applicant:

- Credit Score: 790
- Monthly Income: ₹100,000
- Requested Loan: ₹800,000
- Estimated EMI: ₹28,000

Assessment:

- Strong credit score
- EMI ratio = 28%
- Loan amount acceptable

Decision:
**APPROVE**

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**Example 2**

Applicant:

- Credit Score: 610
- Monthly Income: ₹90,000
- Requested Loan: ₹1,500,000

Assessment:

- Weak credit profile
- High requested amount

Decision:
**REJECT**

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**Example 3**

Applicant:

- Credit Score: 700
- Monthly Income: ₹120,000
- Requested Loan: ₹1,100,000
- EMI burden = 42%

Assessment:

- Moderate credit profile

- Borderline affordability

Decision:
**MANUAL REVIEW**

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**7. Fraud & Compliance Controls**

Mandatory controls before final approval:

- Identity verification
- Address verification
- PAN / tax validation
- AML screening
- Sanctions screening
- Fraud device fingerprinting
- Duplicate application detection
- Document authenticity checks

Failure in mandatory control checks may override automated approval.

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**8. Exception Handling**

Exceptions may be permitted only through authorized approval where:

- High net worth customer relationship exists
- Additional collateral is available
- Strong compensating factors exist
- Verified exceptional income sources exist

All exceptions must include:

- Reason code
- Approver identity
- Timestamp
- Audit trail entry

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**9. Governance**

Policy owner:
**Credit Risk / Underwriting Team**

Review frequency:
**Quarterly or as business conditions require**

Triggers for policy review:

- Rising default rates
- Economic stress
- Regulatory change
- Portfolio performance deterioration
- Fraud trend changes

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**10. Audit Requirements**

The system must retain:

- Application inputs
- Decision outputs
- Rule triggered
- Override reason
- Reviewer notes
- Timestamp
- User / system identity

Retention should align with regulatory requirements.

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**11. Disclaimer**

This policy provides recommendation logic for automated decision support.

Final lending approval remains subject to:

- Institution credit policy
- Regulatory obligations
- Human oversight where required
- Risk appetite controls